Target: committee decision memo

Valuation: October 19, 2026, 4 p.m. Eastern. User: buy-side committee with no current TGT position; common stock, USD, 12-24 month decision horizon. Snapshot: target-audit-b7be55e9cbc05931.

Committee ask and range

My recommendation is watch/defer. The conditional operating cases value Target at **$86.04-$153.12 per diluted share**, with base **$120.79**. Against the provider daily Close of **$153.29**, the base gap is **-21.20%**. This comparison uses a documented provider daily Close, rather than a verified NYSE closing-auction print. The high case offers little cushion at that reference price. The range describes explicit scenarios, not probabilities or a confidence interval.

What drives the result

Full-year FY2026 sales growth is assumed at 4%, then 3%, 3%, 2.5%, 2.5%, 2.5% through FY2031 on comparable-week bases. Merchandise cost excluding allocated depreciation falls from 71.6% to 71.0% of sales and SG&A from 20.6% to 20.3%. Margin is the resulting output, not another independent growth input. Capex moderates from 4.5% to 3.75%; total D&A stays at a provisional 3%. Competition, markdowns, wages and fulfillment expense could defeat this recovery. Low/high cases change demand and cost pressures coherently; they do not scale every input by one arbitrary percentage.

The model discounts only the future FY2026 stub and FY2027-FY2031 FCFF; the estimated August-to-October period establishes opening balances. FY2028's extra week is removed from the next year's comparable growth base. Reported cash is preserved. The $593m settlement gain and $994m tariff refund are not repeated in future recurring profit. The $250m transformation charge is identified separately; continuing transformation spending is not automatically added back.

Valuation and cross-checks

WACC is **8.09%**, using Treasury 5.09%, ERP 4.20%, measured weekly beta 0.901, assumed pretax debt cost 6%, tax 24%, and proxy market weights. Terminal growth is 2%, incremental ROIC 12%, and terminal reinvestment 16.67% of next-year NOPAT. Terminal value supplies **75.12%** of enterprise value, making long-run assumptions load-bearing. The conditional reverse DCF requires **4.47%** perpetual growth with other inputs fixed; this is one solved expectation, not a unique interpretation of the market.

Enterprise value **$66,354.0m** plus estimated excess cash **$4,421.2m**, less estimated debt **$15,327.6m**, plus itemized other assets/claims **-$306m**, yields equity **$55,141.6m** over **456.496736m** diluted shares. Historical carrying amounts and dilution are cutoff estimates, not October observations. Leases are treated once; tax accruals remain operating float rather than a duplicate financing deduction.

Reported TTM EV/EBIT and P/E are Target 13.45x/15.90x, Walmart 30.98x/43.02x and Costco 36.86x/47.96x. Walmart and Costco are contextual comparisons: grocery mix, membership economics, scale, growth and recurring profitability differ. Target TTM EBIT includes the refund; removing $994m gives $5,029m EBIT. The multiples therefore do not overturn the DCF or justify averaging the methods. No defensible transaction benchmark is claimed.

Conditions, ownership and risks

I will review each quarterly earnings release within five business days as the student analyst. Revisit growth after two non-positive comparable-sales reports, margin below 4.5% for two quarters, or inventory growth exceeding sales by over five percentage points for two matching-season quarters. Suspend reliance on any failed reconciliation or irreproducible load-bearing source. I would consider initiation at least 20% below the updated base value, currently about $96.63, only after validation is complete and operating evidence supports it. This is a review screen, not an automatic purchase; it remains above the $86.04 low case.

The D&A allocation, asset lives, seasonal cutoff balances, debt/lease timing and award dilution remain estimates. Twenty tests, 94 model checks and 12 published-answer comparisons pass; they do not prove these economic assumptions. I accept the assumptions for conditional use and the corrected August 21 share count, while qualifying cutoff timing and dilution. The validation record contains my reported source comparison and output disposition; the protected exercise remains separate. Sources: Target FY2025 10-K; Target Q2 FY2026 10-Q. Detailed definitions and test logs are in the accompanying validation record and repository.